

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 25-03

EUROMARKET DESIGNS, INC. v.

MSC MEDITERRANEAN SHIPPING COMPANY SA, ET AL.

**COMPLAINANT’S MEMORANDUM IN OPPOSITION TO RESPONDENTS HMM
COMPANY LIMITED AND MSC MEDITERRANEAN SHIPPING COMPANY, S.A.’S
MOTIONS TO STAY PROCEEDING, FOR FILING OF AN AMENDED COMPLAINT,
AND FOR PARTIAL DISMISSAL AND RESPONDENT WAN HAI LINE LTD.’S
MOTION TO STAY PROCEEDING AND FOR PARTIAL DISMISSAL**

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Complainant Euromarket Designs, Inc. (“EDI”), through undersigned counsel, hereby submits this memorandum in opposition to the motions filed by Respondents HMM Company Limited (“HMM”) and MSC Mediterranean Shipping Company, S.A. (“MSC”) to stay this proceeding, for the filing of an amended complaint, and for partial dismissal (the “HMM/MSC Motions”);¹ and the motion filed by Respondent Wan Hai Line Ltd. to stay this proceeding and for partial dismissal (the “Wan Hai Motion” and collectively with the HMM/MSC Motions, the “Motions”).²

For the reasons detailed herein, the Presiding Officer should deny the Motions as to all relief sought. First, the Motions are baseless. Respondents provide no persuasive reason to create the unnecessary delay that they seek, which only three of the eleven parties to this proceeding have requested. Indeed, such an unwarranted delay would prejudice those other parties in their ability to resolve Complainant’s claims expeditiously, as contemplated by the Commission’s Rules. Second, the Motions are improper. They effectively urge the Presiding Officer to disregard the binding, unanimous, and consistent decisions of the Commission itself simply due to the pendency of appeal and remand proceedings in unrelated cases in which neither Complainant nor other respondents here were involved. Third, the delays the Motions seek are undefined and essentially unbound, since the future course of those unrelated cases is unknown and may entail further appellate or remand proceedings, or other developments. To the extent the HMM/MSC Motions seek to compel the filing of an amended complaint in this proceeding regarding the damages

¹ The motions filed by HMM and MSC are substantively nearly identical.

² Rules 69–71 of the Federal Maritime Commission’s (the “Commission” or the “FMC”) Rules of Practice and Procedure, 46 C.F.R. §§ 502.69–71 (the “Rules”), provide the procedures for dispositive and non-dispositive motions, setting 15-day and 7-day deadlines for responses to such motions, respectively. Respondents’ February 3, 2025 Motions seek, *inter alia*, dismissal of part of the proceeding against Respondent, and consequently constitute dispositive motions under Rule 69(g) subject to Rule 70(b)’s 15-day response deadline.

associated with Respondents' cargo space shortfalls, they are equally baseless, and rendered moot by the initial disclosures that Complainant has already served pursuant to Rule 141 of the Rules, which specifically requires disclosure of, *inter alia*, "[a]n estimate of any damages claimed by the disclosing party". 46 C.F.R. § 502.141(b)(3). Finally, Complainant's allegations under 46 U.S.C. § 41104(a)(10) directly satisfy the pleading standard that the Commission has consistently maintained specifically for refusal to deal claims, thus the Motions' requests for dismissal of those claims should be accordingly denied.

I. The Requested Stays Have No Basis and Should Be Denied.

The HMM/MSC Motions' requests for a stay "until the Court of Appeals resolves the scope of the Commission's Jurisdiction" is nothing more than a bid to ignore the legal validity of Complainant's statutory Shipping Act claims in this proceeding as established by Commission precedent and to significantly (and indefinitely) delay the resolution of those claims. Similarly, the Motions' request for a stay to await a Commission decision which might "provide further guidance" on detention and demurrage charges seeks to overlook well-established Commission precedent on the matter in exchange for an unfettered delay of this proceeding. In light of Complainant's clear allegations raised in this proceeding, the binding, unanimous prior decisions of the Commission, and the prejudice that will result from baseless, unnecessary delay, the Presiding Officer should deny Respondents' requests for a stay so that the parties can proceed promptly with discovery and the resolution of Complainant's claims on the merits, consistent with how other, similar Shipping Act claims have been and continue to be litigated before the Commission.

A. Legal Standard

When deciding a contested motion to stay a proceeding, the Presiding Officer must "weigh competing interests and maintain an even balance" between the party advocating for a stay and the

party or parties opposing the stay. *See Landis v. North American Co.*, 299 U.S. 248, 254–55 (1936). “The party seeking a stay bears the burden of justifying a delay”, *Wedgeworth v. Fibreboard Corp.*, 706 F.2d 541, 545 (5th Cir. 1983), while seeking resolution in another litigation:

[T]he suppliant for a stay must make out a clear case of hardship or inequity in being required to go forward, if there is even a fair possibility that the stay for which he prays will work damage to some one else. ***Only in rare circumstances will a litigant in one cause be compelled to stand aside while a litigant in another settles the rule of law that will define the rights of both.***

Landis, 299 U.S. at 255 (emphasis added) (explaining that the movant must show a “pressing need” for a delay). The mere fact that a potentially relevant legal issue is or will be before an appellate court in another case does **not** weigh in favor of a stay, especially where all prior determinations of the legal issue underlying the requested stay have been uniform. *See, e.g., Standard Drywall, Inc. v. Operative Plasterers’ & Cement Masons’ Int’l Ass’n, Loc. 200, AFL-CIO*, 633 F. Supp. 2d 1109, 1114 (C.D. Cal. 2009) (“Since the authorities are unanimous that it is the 10(k) award itself, not subsequent appealable unfair labor practice decisions, that have preclusive effects on the enforcement of contrary arbitral awards, a stay here is inappropriate.”).

B. The HMM/MSC Motions’ Requested Stays Should Be Denied.

1. Consistent Prior Decisions of the Commission and the Courts on Jurisdiction Weigh Strongly Against the Requested Stay.

The law is absolutely and explicitly clear that the Commission has jurisdiction over statutory claims brought by shippers under the Shipping Act, regardless of whether the conduct relevant to such claims also involved or related to a breach of contract. The Commission recently reaffirmed this in its unanimous decision in *MCS Industries, Inc. v. MSC Mediterranean Shipping Company S.A.*, FMC Dkt. No. 21-05, 2024 WL 95383 (FMC Jan. 3, 2024)—one of the cases that Respondents claim as the basis for the stay, hoping that the Commission’s decision will be reversed

on appeal by the U.S. Court of Appeals for the District of Columbia Circuit. That decision, however, is just one of many by the Commission and multiple federal courts confirming the Commission’s jurisdiction over claims such as Complainant’s here. *See, e.g., OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG*, FMC Dkt. No. 21-11, 2024 WL 4034610, at *8–9 (FMC 2024); *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, FMC Dkt. No. 02-04, 2006 WL 2007808, at *9 (FMC 2006); *Cargo One, Inc. v. Cosco Container Lines Co. Ltd.*, FMC Dkt. No. 99-24, 2000 WL 1648961, at *15 (FMC 2000); *see also In re: Vehicle Carrier Servs. Antitrust Litig.*, 846 F.3d 71, 86 (3d Cir. 2017) (“Moreover, Congress provided a means for private parties injured by the illegal acts of such carriers to seek relief ranging from double damages and attorneys’ fees to injunctions.”); *A/S Ivarans Rederi v. United States*, 895 F.2d 1441, 1445 (D.C. Cir. 1990) (“Private regulated parties cannot agree to waive the subject matter jurisdiction of the agency charged with the statutory responsibility to insure that parties implement agreements as approved by and filed with that agency.”); *Mediterranean Shipping Co. USA Inc. v. AA Cargo Inc.*, 46 F. Supp. 3d 294, 301 (S.D.N.Y. 2014) (“[T]he Shipping Act does not provide for a private cause of action in federal district court; rather, alleged violations of the Shipping Act must be addressed with the Federal Maritime Commission.”); *MAVL Capital, Inc. v. Marine Transp. Logistics, Inc.*, 130 F. Supp. 3d 726, 731 (E.D.N.Y. 2015) (U.S. District Court collecting cases and dismissing Shipping Act claims); *Unpaid Freight Charges*, 58 Fed. Reg. 7190-02, 1993 WL 24805, at *7193 (FMC Feb. 5, 1993) (“The Commission has exclusive jurisdiction to administer and enforce the 1984 [Shipping] Act. Violations of the 1984 [Shipping] Act can be rectified only by the sanctions and remedies provided for in that Act.”).

Indeed, as the decision affirmed by the Commission in *MCS Industries* stated, “the Commission has an obligation to determine whether an entity has violated the Shipping Act, even when the facts alleged may give rise to both breach of contract claims and Shipping Act claims.” *MCS Indus., Inc. v. Cosco Shipping Lines Co.*, FMC Dkt. No. 21-05, 2022 WL 458569, at *6 (FMC ALJ Feb. 4, 2022). This body of established precedent has been repeatedly and consistently applied by the Commission’s Administrative Law Judges for many years. *See, e.g., Greatway Logistics Grp., LLC, v. Ocean Network Express Pte. Ltd.*, FMC Dkt. No. 21-04, 2021 WL 3090768, at *2–4 (FMC ALJ July 16, 2021) (denying the respondent’s motion to stay an FMC case alleging, *inter alia*, violation of 46 U.S.C. Section 41102(c) pending certain developments in a parallel federal district court litigation involving alleged breach of contract claims because, even though the parallel actions were “based on the same two bills of lading”, “the Commission and the district court are adjudicating different issues” and “[a]s Shipping Act violations are raised in this proceeding and respondent is a regulated entity, the Commission has jurisdiction over this proceeding”); *see also 20230930-DK-Butterfly-1, Inc. f/k/a Bed Bath & Beyond Inc. v. Evergreen Line Joint Serv. Agr. (FMC #011982)*, FMC Dkt. No. 24-12, 2024 WL 3317830, at *6 (FMC ALJ June 26, 2024) (denying a motion to dismiss claims similar to those brought here because, *inter alia*, the “Commission has jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act”); *Bed Bath & Beyond Inc. v. Orient Overseas Container Line Ltd.*, FMC Dkt. No. 23-02, 2023 WL 6391710, at *14 (FMC ALJ Sept. 28, 2023) (“the Commission has authority to regulate the reasonableness of cargo space accommodations in service contracts, or any refusal thereof, for the time period covered by the complaint.”); *Marine Transp. Logistics, Inc. v. CMA-CGM (America) LLC*, FMC Dkt. No 18-07, 2019 WL 5206007, at

*6–7 (FMC ALJ Oct. 8, 2019); *Baltic Auto Shipping, Inc. v. Hitrinov*, FMC Dkt. No. 14-16, 2015 WL 14094543, at *4 (FMC ALJ Feb. 2, 2015).

Given the settled state of the law on this issue, Respondent’s reliance on *Coker v. Select Energy Services, LLC*, 161 F. Supp. 3d 492 (S.D. Tex. 2015), is misplaced. There, the request for a stay arose in a case pending before a U.S. District Court within the Fifth Circuit at a time when a circuit split had developed on the legal matter at issue and the U.S. Court of Appeals for the Fifth Circuit had taken the issue up *en banc*. *Id.* at 494. The district court, based on the “limited duration” of the stay requested and the *en banc* posture of the legal issue before the Fifth Circuit, decided to provide the requested stay. *Id.* at 495. Here, however, there is no circuit split—and, indeed, no prior authority at all—suggesting that the Commission lacks jurisdiction over Complainant’s statutory causes of action under the Shipping Act. Instead, the Commission and federal courts have repeatedly and explicitly ruled precisely to the contrary. There is no lack of clarity justifying a stay of this proceeding.

2. The Requested Stay Is Not Reasonably Time Bound and Should be Denied.

Before granting a motion to stay, “the court must carefully consider the time reasonably expected for resolution of the other case, in light of the principle that stay orders will be reversed when they are found to be immoderate or of an indefinite duration.” *Benoit ex rel. Hebert v. Nintendo of Am., Inc.*, No. Civ. A. 01-674, 2002 WL 59416, at *1 (E.D. La. Jan. 14, 2002) (citing *Wedgeworth*, 706 F.2d at 544); *see also Addison v. United States*, No. 3:12-CV-4271-O, 2013 WL 12126282, at *1 (N.D. Tex. Dec. 13, 2013) (denying motion for stay) (quoting *McKnight v. Blanchard*, 667 F.2d 477, 479 (5th Cir. 1982)).

Here, the final briefs in the appeal of the Commission’s decisions in *MCS Industries* currently pending before the D.C. Circuit are not due until March 7, 2025, with oral argument potentially to follow before any decision is issued. Accordingly, the delay even from waiting for

that decision by the D.C. Circuit would be significant, especially given the expedient manner in which the Commission’s Rules contemplate discovery proceeding in cases such as this one. That, on its own, would be a significant delay weighing heavily against a stay.

To the extent Respondents also seek to rely on *Evergreen Shipping Agency (America) Corp. v. Federal Maritime Commission*, 106 F.4th 1113 (D.C. Cir. 2024) (“*Evergreen*”) as an independently adequate ground for their request for a stay here, this request is now moot as the Commission has since entered a decision in that matter.³ In its decision on remand from the D.C. Circuit, the Commission assessed the charges’ “reasonableness by balancing how a particular charge fits within the incentive principle to further the primary purpose of promoting freight fluidity alongside other arguments and extenuating circumstances,” and determined that the detention charges at issue were unjust and unreasonable in violation of 46 U.S.C. § 41102(c). *TCW, Inc. v. Evergreen Shipping Agency (America) Corp. & Evergreen Line Joint Serv. Agr.*, FMC Dkt. No. 1966(I), Order on Remand, 8-9 (FMC Feb. 13, 2025).

Had Respondents’ reliance on *Evergreen* not been rendered moot, their request was still meritless. Defendants in litigation are not entitled to force plaintiffs to sit on their rights simply because another similarly situated party is litigating similar claims at or around the same time, or because a particular legal issue has not been definitively addressed by the Supreme Court. Indeed, even if they were so entitled, Congress has already made shippers’ rights, including the right to recourse before the Commission for reparations, explicitly clear in the statutory text of the Shipping Act, and acted affirmatively to reinforce and strengthen those rights in the Ocean Shipping Reform Act of 2022, Pub. L. No. 117-146, 136 Stat. 1272 (2022) (“OSRA 2022”). The

³ The Wan Hai Motion similarly seeks to use the *Evergreen* case to request an indefinite stay. *See infra* § I(C).

D.C. Circuit’s decision in *Evergreen* had already provided guidance regarding litigation over detention and demurrage charges that could have just as readily been applied by the Presiding Officer in this proceeding as the Commission itself applied on remand in that case, without staying this proceeding pending further decisions in that case.

While Respondents’ invocation of *Evergreen* in requesting a stay is now moot, it nevertheless serves to illuminate that their present motions are not merely for a stay pending a single decision by a single court, but instead for an immoderate stay of an indefinite duration—effectively, until they get a decision they like in any venue other than the present one. While Respondents first rely on the jurisdictional issue currently on appeal before the D.C. Circuit in *MCS Industries*, claiming that they seek a stay “until the Commission and the parties have the benefit of the final resolution of that litigation”⁴, Respondents’ additional reliance on the D.C. Circuit’s decision in *Evergreen* shows that Respondents are *not* simply asking for a stay until the D.C. Circuit has made its decision in *MCS Industries*, but are apparently instead seeking a stay until the final resolution of that entire litigation **and**, it would seem, the *Evergreen* litigation, wherever those cases may lead procedurally.

Respondents note that the *Evergreen* case, which was remanded by the D.C. Circuit more than seven months ago on July 5, 2024, was “awaiting a Commission decision on remand” and ask that the Presiding Officer further stay this proceeding awaiting such Commission decision. While a decision has now been issued in *Evergreen*, Respondents’ position nevertheless concerningly appears to ignore the possibility that both of these other cases—again, neither of which involves Complainant or many of the respondents here—may well entail further appellate and remand

⁴ HMM/MSM Motions at 2.

proceedings before the Commission, the D.C. Circuit (e.g., on appeal of a new remand decision, for panel rehearing, or for rehearing *en banc*), or even the United States Supreme Court (on a petition for a writ of certiorari to any party that seeks to appeal the decisions below in whole or in part). Asking the Presiding Officer to stay this proceeding pending all of the future permutations of those unrelated cases is the very definition of “immoderate”. Respondents’ admission that they believe this proceeding should remain stayed through any potential remand to the Commission in *MCS Industries* shows that there is no definite end in sight to the stay requested.⁵

For the foregoing reasons, to the extent that the Respondents argue that the motion to stay based on *Evergreen* is **not moot** and continue to **still seek a stay** to follow any **additional** appeals in the *Evergreen* proceeding, this tact belies the unending delay sought by Respondents in their stay motion and their opinion that the Commission is apparently powerless to make any decisions regarding detention and demurrage—or its own jurisdiction—for perhaps years to come.

To the extent Respondents seek to rely on the *Evergreen* case as an independent ground for their request for a stay here, that argument is moot and should be denied.

3. The Requested Stay Is Prejudicial.

Complainant would also be significantly prejudiced by a stay in several ways. **First**, Complainant is seeking to recover in this proceeding reparations for a substantial amount of actual, out-of-pocket costs that it incurred—more than \$65,000,000—and the indefinite delay sought here, based on a longshot hope of appellate reversal of an established body of case law uniformly supporting Complainant’s claims, simply seeks to extend Respondents’ possession and use of their

⁵ Respondent’s position is also self-contradictory, citing a **forthcoming** decision of the Commission on remand in the *Evergreen* case as a source of valuable precedent while seeking to discount the **existing**, unanimous decisions of the Commission in the *MCS Industries* case as wholly inconsequential while on appeal (and ignoring the Commission’s unanimous decision on substantially identical Shipping Act claims in *OJ Commerce* entirely).

ill-gotten gains as long as possible. ***Second***, proceeding promptly to discovery in this case is critical for Complainant to identify documents, data, and other information relevant to its claims that may be in the possession of non-parties (e.g., ocean transportation intermediaries, booking agents, or terminal operators), or, for that matter, potential claims against such non-parties that would need to be brought or tolled promptly in light of 46 U.S. Code Section 41301(a)'s three-year limitation on claims for reparations. A delay in this proceeding could render such information that is properly discoverable but not currently known to Complainant unactionable. ***Third***, only three of the respondents in this case (MSC, HMM, and Wan Hai) have requested a stay, whereas the other seven respondents have not. Proceeding on different timelines for substantially identical claims against different respondents or staying the entire proceeding as to all parties even though only three have requested it, would both be inefficient to the point of prejudice to Complainant (and, for that matter, the non-moving respondents). For all of these reasons, the HMM/MSC Motions' request for a stay of this proceeding should be denied.

C. The Wan Hai Motion's Requested Stay Should Be Denied.

As with the HMM/MSC Motions, the Wan Hai Motion requests that this proceeding be stayed pending the "final resolution" of the *Evergreen* case. As detailed above, the Commission has since issued a decision on remand in that case, implementing the D.C. Circuit's direction regarding applying the incentive principle alongside consideration of other arguments and extenuating circumstances, and finding once again that the detention charges at issue in that case were unreasonable. Thus, this request is now moot and should be denied.

As detailed above, had a decision not yet been issued in *Evergreen*, the Wan Hai Motion's request for a stay still should have been denied. The requested stay sought to ignore well-established Commission precedent on assessing the reasonableness of detention and demurrage

charges and would have effectively obstructed the Commission's ability to adjudicate *any* cases concerning detention and demurrage charges while awaiting the resolution of a single and fully separate litigation. Taken further, granting the stay request could have effectively delayed and undermined the Commission's Administrative Law Judges from issuing *any* decisions while awaiting the final conclusion of separate Commission cases addressing related issues that even potentially could provide "further guidance." These principles still apply, of course, if Wan Hai still seeks a stay pending any further appeals in the *Evergreen* proceeding, and the Presiding Officer should deny the Wan Hai Motion.

II. Respondents' Request for an Amended Complaint Is Unwarranted and Moot.

The HMM/MSC Motions' requests that Complainant amend its Verified Complaint in this proceeding to provide granular, Respondent-by-Respondent damages amounts in connection with its cargo space shortfall claims should be denied because (1) the Verified Complaint already satisfies all requirements of Rule 62 of the Commission's Rules, 46 C.F.R. § 502.62, and (2) the information requested has already been provided to Respondents in Complainant's initial disclosures served in this proceeding.

Rule 62 of the Rules, which governs the form and content of complaints for formal adjudication before the Commission, states in relevant part that "[w]here reparation is sought, the complaint must set forth the injury caused by the alleged violation and the amount of alleged damages." 46 C.F.R. § 502.62(a)(4)(i). The Verified Complaint in this proceeding does just that, setting forth in detail on a forty-foot equivalent unit ("FEU") basis each Respondent's alleged shortfall on its respective cargo space service commitment and alleging the total amount of reparations sought for the excess ocean freight charges that Complainant incurred during the period of these service commitment shortfalls in connection with shipments carried on the lanes that were supposed to be covered by its service contracts with Respondents. These detailed allegations fully

satisfy the requirements of Rule 62, and Respondents cite no precedent requiring in an initial pleading greater granularity than what Complainant has already alleged in its Verified Complaint.

As noted above, Respondents' request has also been rendered moot by Complainant's service of its initial disclosures pursuant to Rule 201 of the Rules, which specifically requires disclosure of, *inter alia*, "[a]n estimate of any damages claimed by the disclosing party". 46 C.F.R. § 502.141(b)(3). Complainant's initial disclosures provide individualized, Respondent-by-Respondent alleged damages amounts with respect to Respondents' cargo space shortfalls.

Based on these facts, Respondents have no basis to delay this proceeding by requiring Complainant to amend its well-pled Complaint where the information sought has already been provided, mooted any possible claim of prejudice by Respondents. For these reasons, Respondents' request for an amended complaint should be denied.

III. Respondents' Motions for Partial Dismissal of the Verified Complaint are Meritless and Should Be Denied.

The HMM/MSC Motions and the Wan Hai Motion both contend that Complainant's allegations of violations of 46 U.S. Code Section 41104(a)(10)'s prohibition on unreasonable refusals to deal or negotiate—set forth in Count IV of the Verified Complaint—fail to state a claim. To the contrary, Complainant's specific and detailed allegations of Respondents' refusals to deal more than satisfy the pleading standard for such claims that has been consistently affirmed by the Commission, and Respondents' partial motion to dismiss should be denied.

The "Commission looks to Federal Rule of Civil Procedure 12(b)(1) when considering dismissals based on lack of subject matter jurisdiction, and to Rule 12(b)(6) when considering dismissals based on failure to state a claim." *MCS Indus.*, 2022 WL 458569, at *3, *aff'd sub nom. MCS Industries*, 2024 WL 95383 (quoting *MAVL Capital Inc., v. Marine Transport Logistics, Inc.*,

FMC Dkt. No. 16-16, 2 F.M.C.2d 198, 2020 WL 13512925, at *4 (FMC 2020)).⁶ “When, as here, jurisdictional facts are intertwined with facts central to the merits of a claim, the Rule 12(b)(6) standard applies.” *Id.* at *3 (quoting *MAVL Capital*, 2020 WL 13512925, at *5).

“Under Fed. R. Civ. P. 12(b)(6), the facts alleged are taken as true and all reasonable inferences are drawn in the complainant’s favor.” *Id.* The facts alleged must “state a claim to relief that is plausible on its face.” *Bell Atl. Corp. v. Twombly*, 550 U.S. 544, 570 (2007). The facts alleged must allow the Commission to reasonably infer that the respondent may be liable for the conduct alleged and provide “fair notice” of the nature of the claims and bases for asserting them. *See MAVL Capital*, 2020 WL 13512925, at *5. “The focus at this stage is not with whether a complainant can prevail on its claim, but whether it has adequately pled the claim.” *MCS Indus.*, 2022 WL 458569 at *4 (citation omitted). As the movant, Respondents “bear[] the burden of proving the [Complainant] has failed to articulate a claim upon which relief could be granted.” *Harris v. CitiMortgage, Inc.*, 878 F. Supp. 2d 154, 158 (D.D.C. 2012).

During the time period relevant to the events underlying this proceeding, 46 U.S. Code Section 41104(a)(10) provided that a common carrier may not “unreasonably refuse to deal or negotiate”.⁷ Accordingly, “[p]roving an unlawful refusal to deal or negotiate under 46 U.S.C. § 41104(a)(10) requires that Complainant show that ‘(1) the respondent is a common carrier; (2) who actually refused to deal or negotiate; and (3) in doing so acted unreasonably.’” *MCS Indus.*, 2022 WL 458569, at *9 (quoting *MAVL Capital*, 2020 WL 13512925, at *9). The Commission

⁶ Although the Commission’s Rules do not explicitly provide for motions to dismiss, Commission Rule 12 states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission’s Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12.

⁷ OSRA 2022 added language to 46 U.S. Code Section 41104(a)(10) to make explicit, consistent with the existing authorities discussed herein, that its prohibition included refusals to deal or negotiate “with respect to vessel space accommodations provided by an ocean common carrier”. 46 U.S.C. § 41104(a)(10).

has found refusal to deal claims under 46 U.S. Code Section 41104(a)(10) to have been plausibly stated where a complaint makes allegations that a common carrier committed acts including:

- failing to allocate contracted space,
- delaying responses or failing to book shipments,
- failing to provide sufficient information, or
- withholding service absent additional surcharges.

Id. The Commission has explicitly affirmed such “well-reasoned” findings in allowing refusal to deal claims to proceed. *MCS Industries*, 2024 WL 95383, at *7. Moreover, the Commission has held—contrary to Respondents’ assertions—that the fact that a complainant engaged in discussions and exchanged correspondence with a common carrier regarding vessel space does *not* mean, as a matter of law, that a complaint fails to state a claim for unreasonable refusal to deal. *Evergreen*, 2024 WL 3317830, at *10. Additionally, contrary to the Wan Hai Motion’s contention, there is no requirement under 46 U.S. Code Section 41104(a)(10) that refusal to deal allegations be limited to the context of a service contract.

Despite Respondents’ attempts to impose an artificially higher pleading standard, Complainant has plainly met the Commission’s threshold here by alleging in detail that Respondents:

- systematically failed to meet their respective service commitments to Complainant during the terms of the Service Contract Respondents’ respective Service Contracts;
- demanded extra-contractual premium contract pricing, Peak Season Surcharges (“PSS”), and/or other surcharges;

- refused to accommodate Complainant’s requests for full or partial refunds of unreasonable demurrage and detention charges;
- made Complainant unable to secure the space for which it had contracted at appropriate prices, if at all; and
- favored carriage of freight at higher prices, in the form of premium contracts, PSS and other surcharges, and by selling Complainant’s bargained-for space to other shippers who agreed to pay higher rates or surcharges.⁸

Reading these allegations “in the light most favorable to Complainant, as [the Commission] is obligated to do”, *Evergreen*, 2024 WL 3317830, at *10 (citing *MCS Industries*, 2022 WL 458569 at *9), Complainant has plausibly stated a claim for unreasonable refusals to deal or negotiate, and Respondents’ partial motions to dismiss should be denied.

IV. **Conclusion**

For the foregoing reasons, the Presiding Officer should deny the HMM/MSC Motions and the Wan Hai Motion in their entirety.

Dated: February 18, 2025

Respectfully submitted,

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⁸ Complainant’s Verified Complaint at 48-49.

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CERTIFICATE OF SERVICE

I hereby certify that a copy of the foregoing was served upon the following counsel who have appeared thus far in this proceeding via email transmission this 18th day of February, 2025.

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Dated: February 18, 2025

A handwritten signature in blue ink, appearing to read 'J. Luke Rushing', positioned above a horizontal line.

J. Luke Rushing
For Complainant *Euromarket Designs, Inc.*